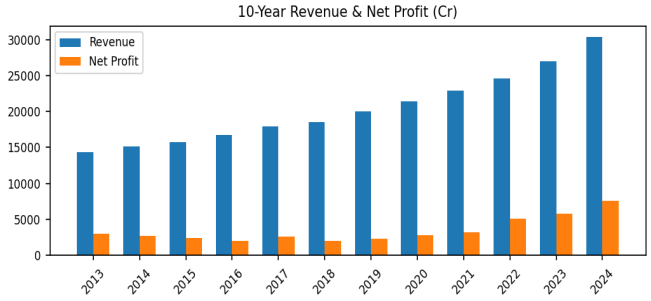
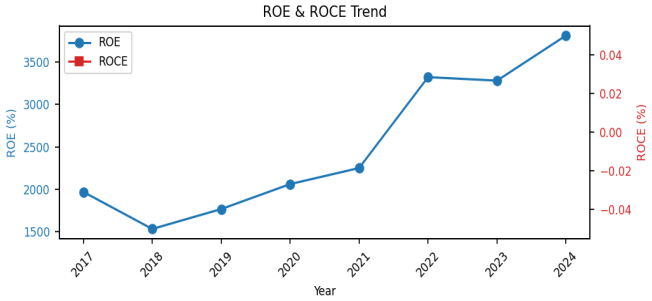
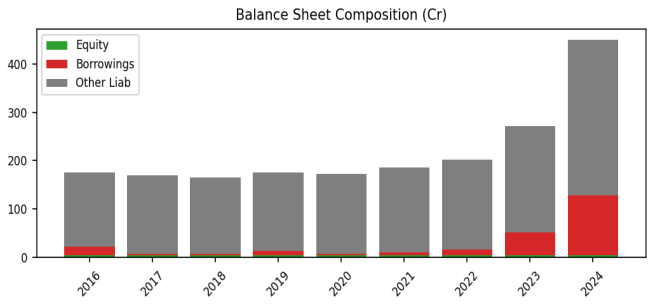
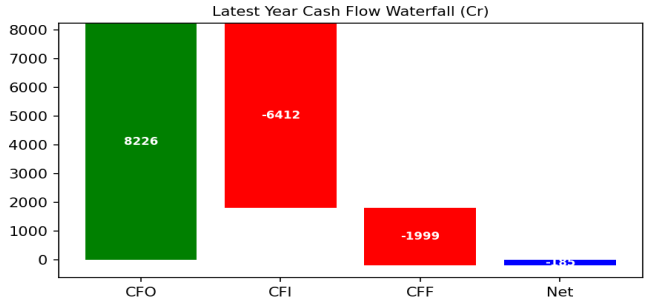
Hindustan Aeronautics Ltd (HAL)

Revenue	Net Profit	Total Equity
■3.0T	■7595Cr	■5.0Cr
ROE	**ROCE**	**D/E**
3816.6%	-	0.62x









Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency (Conf: 90%) • Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Net profit compounding at above 20% over 5 years creates significant shareholder value (Conf: 90%) • Very high interest coverage ratio reflects negligible financial stress from debt servicing (Conf: 85%) • Consistent dividend yield above 2% backed by positive free cash flow (Conf: 80%) • Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (Conf: 85%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%) • Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (Conf: 80%)

Capital Allocation Pattern: Shareholder Returns